

Under provisions of Section 1026.23 of Regulation Z, which implements the federal Truth in Lending Law, each borrower, has been given the right to cancel without cost any credit transaction in which a security interest will be retained or acquired in a borrower's primary dwelling. This right, known as the Right of Rescission, extends the loan transaction for three (3) business days after a "triggering event" (defined below in the [Rescission Period](#) section).

These guidelines delineate the criteria under which Lenders are required to acknowledge this right and procedural requirement of Flagstar.

It is important that you read and follow the instructions provided below if you receive a written notice indicating the borrower is exercising their right to rescind.

TRANSACTIONS EXEMPT FROM THE RIGHT OF RESCISSION

- Residential mortgage transactions, which are transactions for the purchase of the consumer's principal residence;
- Refinance transactions not involving the principal residence of the consumer;

REGULATORY REQUIREMENTS

Each borrower, including any non-obligated borrower(s), whose ownership interest is or will be subject to the security interest has the right to rescind the transaction. This applies to closed-end and open-end first and second lien transactions. Each borrower with the right to rescind, must be provided with two (2) copies each of the Notice of Right to Rescind (Notice of Right to Cancel) and one copy of the Closing Disclosure (CD).

The Notice of Right to Rescind (or Notice of Right to Cancel) must disclose the following:

- That the transaction involves the Lender obtaining a security interest in the consumer residence
- That the borrower has the right to rescind, joint owners have the right to rescind, and a rescission by one is effective for all
- Instructions for exercising the right to rescind, with the address of the creditor's place of business;
- The consequences of rescission
- The expiration date of the rescission period

The Closing Disclosure will be considered accurate for purposes of Right of **Rescission** 1026.23(g) if the finance charge meets the following:

- Is understated by no more than $\frac{1}{2}$ of 1 percent of the face of the amount of the note or \$100.00, whichever is greater
- Is greater than the amount required to be disclosed.

FLAGSTAR REQUIREMENT

Flagstar requires that each borrower that is provided a Notice of Right to Cancel acknowledge the receipt of that document by signing and dating it on the acknowledgment lines provided, and in some cases, the security document (Mortgage/Deed of Trust).

RESCISSION PERIOD

The rescission period officially begins after the last of three *triggering events* occur, defined as the last occurrence of any of the following events (under most normal transactions, all of the following events will occur at the time the loan documents are signed by the borrower(s) and notarized):

- Consummation of the transaction (signing of the Note);
- Date the Closing Disclosure is received by the consumer;
- Date the Notice of Right to Cancel (Notice of Right to Cancel) is received by the borrower(s).

Section 1026.23(a)(3) of Regulation Z states the rescission period officially expires at midnight of the third (3rd) business day after the last occurrence of any of the above events. Funds will not be and are not allowed to be disbursed until after midnight of the third (3rd) business day.

Notice: If the Lender fails to provide a proper Notice of Right to Cancel or an accurate Closing Disclosure (CD), the rescission period of time can be extended for up to three (3) years.

See procedures below that must be followed when a Notice of Right to Cancel has been received or when any other type of notification that a loan has been rescinded has been received.

BUSINESS DAYS

For purposes of rescission, Flagstar Bank, N.A. considers Monday through Saturday to be business days. Sundays and legal holidays are not considered business days, and thus are not included in the rescission period.

LEGAL HOLIDAYS

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| • Christmas Day | • New Year's Day |
| • Columbus Day | • President's Day |
| • Fourth of July | • Thanksgiving Day |
| • Labor Day | • Veteran's Day |
| • Martin Luther King Jr. Day | |
| • Memorial Day | • Juneteenth |

BORROWER WAIVER OF RIGHT TO RESCIND

Under certain, very limited circumstances, which are outlined in Regulation Z 1026.23(e), a borrower may modify or waive his or her right to rescind.

In the event that a consumer **inquiries** about waiving his or her right to rescind, or **inquiries** about receiving the loan proceeds without waiting for the three-day rescission period, a bona fide personal financial emergency must be proven.

The existence of the borrower's waiver of their right to rescind their loan will not insulate Flagstar Bank, N.A. from liability for failing to provide the right of rescission. The decision to accept the borrower's request for such a waiver will be made on a case-by-case basis, considering, among other factors, the personal financial emergency that must be met before the expiration of the rescission period.

The decision to accept a waiver or modification can only be made through the collaboration of Flagstar's Legal department, executive and senior management of the business unit.

The borrower must submit a dated written statement that specifically waives or modifies the right and also includes a description of the emergency. Each borrower entitled to rescind must sign the waiver. The waiver must be handwritten. Printed forms are prohibited.

Requests for Waiver of Rescission should be submitted to the Rescission department via [email to FundingAdjustment@Flagstar.com](mailto:FundingAdjustment@Flagstar.com). The Legal department will be notified by the Rescission area, and the waiver will be supplied to them for their review. The final decision will be relayed to the Mortgage Broker.

IMPORTANT CLOSING INSTRUCTIONS

All closing packages, which require a Right to Rescind Notice, must include two (2) copies for each borrower. This includes borrowers, co-borrowers, and non-obligators.

CHANGES TO THE TRANSACTION

The issuance of any revised documents must be reviewed by the Funding department prior to disbursement of the funds. If changes are detected during the review of the file in Post-Closing, that area will pursue the signing of a revised Notice of Right to Cancel from the borrower.

BORROWER REQUIREMENTS TO EXERCISE THE RIGHT TO RESCIND

- The borrower must exercise the right of rescission in writing. The written request must be signed and dated, but it does not necessarily need to be on the Notice of Right to Cancel form provided.
- If received by mail or email, the notice must be sent no later than midnight of the date on the Note of Right to Rescind.
- If sent or delivered in another way, the written request to rescind must be delivered to the address shown on the notice provided no later than midnight of the date on the notice.

EFFECTS OF RESCISSION

The regulation considers a rescinded loan a voided loan. The rescinded status provides for a permanent cancellation of that loan number and corresponding loan information. This status can never be removed. All borrowers that wish to re-close their loans must re-apply for a new loan. The rescinded number is no longer an active number and future activity cannot occur.

NOTIFICATION TO FLAGSTAR BANK OF CONSUMER INTENTION TO RESCIND

Under Section 1026.23(d) of Regulation Z, when a borrower rescinds a transaction, the security interest giving rise to the right of the rescission becomes void and the consumer shall not be liable for any amount, including any finance charges or fees paid to a third-party vendor outside of closing. "Any amount" includes the finance charges already accrued, as well as other charges, such as originator fees, application and commitment fees, or fees for a title search or appraisal, whether to be paid to the creditor, paid directly to the third party, or passed on from the creditor to the third party. It is irrelevant that these amounts may not represent profit to the creditor.

Within 20 calendar days, after receipt of the notice of cancellation/rescission, the creditor has certain responsibilities to the borrower. The 20-calendar day timeline must be met. The creditor's responsibilities are as follows:

- The creditor must return any money or property to the borrower that was given to anyone in connection with the transaction.
- The creditor must take the necessary action to reflect the termination of the security interest.

It is imperative that immediate actions are taken by the originator, settlement agent, and any employee of Flagstar Bank, N.A. who receives written notice from a borrower that has exercised their right to rescind at any time.



Right of Rescission

When a rescission occurs and a notice is received on any and all residential mortgage loans, it must be reported to the rescission department in funding immediately upon receipt, regardless of the date it was signed by the borrower.

The funding department is responsible for processing all residential mortgage loan rescissions. The rescission department will review the document and make the determination if it should be escalated to Legal and Compliance for review.

When a borrower exercises their right to rescind on a loan, the following must be followed:

The borrower(s) should immediately forward the executed Notice of Right to Cancel (Notice of Right to Cancel) form found in the closing package or other written, signed, and dated notification, indicating they are rescinding, to Flagstar Bank via ~~fax~~, email, or mail:

Flagstar Bank, N.A.
Right of Rescission Department
Mail Stop W-550-4
5151 Corporate Drive
Troy, Michigan 48098

Email: FundingAdjustment@Flagstar.com

Actions required:

- Immediately call the Funding department and advise of the cancellation. If after 5:00 p.m. EST, and the loan status is in Funding Ready or Funding Requested, call 866-945-9872.
- Email the information to the designated individuals provided by management in the Funding department.
 - Use RESCISSION RECEIVED and the loan number in the subject line
 - Use the return receipt option to verify it was received
 - Copy FundingAdjustment@Flagstar.com